

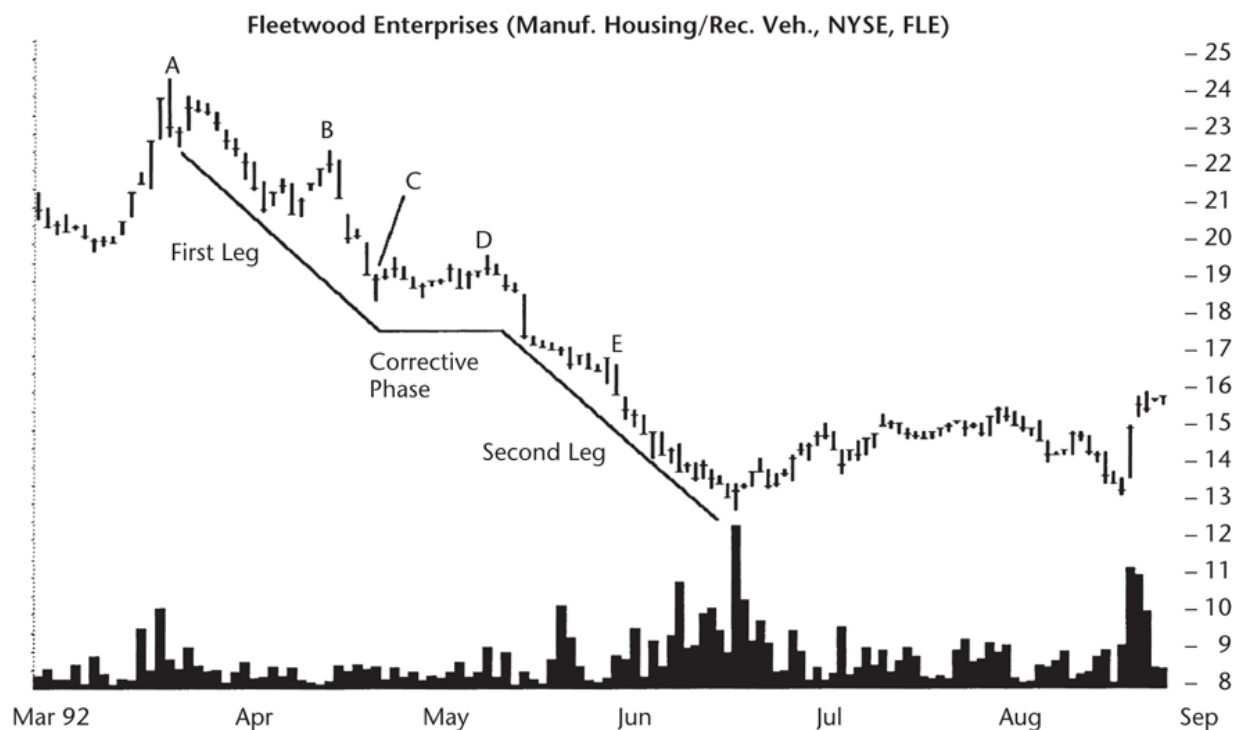


Figure 46.1 A typical measured move down. The slope of the trendline is similar for both legs. Points A, B, and C mark a nested measured move.

The corrective phase is simply an upward retrace of the downtrend. It is a place for the stock to catch its breath and for novice investors to buy into the situation. They purchase the stock and push it up, believing the decline is at an end. Sometimes they are correct, but in this case the decline is only half over. That is the beauty of this chart pattern. Before you buy a stock after a decline, consider that it might be making a measured move down and that the decline is not over. Paying attention might save you some big bucks.

Returning to the figure, you can see the two legs follow a trendline that has nearly the same slope. This is not always the case, but a surprising number of patterns obey this idea. Further, a channel—two parallel lines that follow price down—can encompass the two legs. Although the example is weak on the first leg, you can see how the second leg follows a top trendline (not drawn), connecting points D and E and extending down.

Lastly, the three points marked A, B, and C mark a nested (one pattern inside the other) measured move down. This one is more compact, and it is